

Defendant's Demurrer is sustained.

Plaintiff to begin the arbitration process.

The Case will be stayed pending arbitration.

A control date of 1/19/27, 8:30am, will be scheduled to ascertain the posture of arbitration.

Defendant to file Order.

Court to notify parties of 1/19/27, date.

7. 9:00 AM CASE NUMBER: L25-12481

CASE NAME: VAN DE POEL & LEVY LLP VS. ANIL YADAV

HEARING ON DEMURRER TO: OR IN THE ALTERNATIVE MTC MEDIATION AND ARBITRATION WITH MTS

FILED BY:

TENTATIVE RULING:

Defendant filed a Demurrer to all causes of action in the Complaint filed on 12/19/25.

Plaintiff filed a timely Response and Declaration on 7/15/16. These documents were served on the Defendant.

Background

Defendant demurs to the Complaint, contending that Plaintiff's Complaint, in which the Plaintiff alleges a breach of contract stemming from a failure to pay attorney fees, is defective because the payment agreement contained a binding arbitration clause. Defendant argues that they never waived that clause.

Plaintiff, in the Complaint, suggests that it was Defendant's burden to trigger the arbitration process, and that Defendant failed to do so when they did not respond to written and verbal demands from Plaintiff.

The Complaint is silent about any attempts by the Plaintiff to initiate arbitration.

In the response to the Demurrer, Plaintiff argues that the arbitration provision of the agreement does not require arbitration before the filing of a lawsuit in the superior court.

The arbitration provision in the fee agreement, which is attached to the Complaint (Exhibit A, Clause 9), requires binding arbitration for fee disputes, and that the parties waive a de novo trial of the dispute. The agreement contains no language indicating whether any particular party is responsible for triggering the arbitration process. There is

some language, toward the end of the provision, that appears to leave open the window for the filing of a civil suit by the Plaintiff, but this is limited to the jurisdiction of a small claims matter.

Analysis

The limited role of the demurrer is to test the legal sufficiency of the allegations in a complaint. *Lewis v. Safeway, Inc.* (2015) 235 Cal.App.4th 385, 388. It raises issues of law, not fact, regarding the form or content of the opposing party's pleading.

Donabedian v. Mercury Ins. Co. (2004) 116 Cal.App.4th 968, 994. A demurrer can be used only to challenge defects that appear on the face of the pleading under attack or from matters outside the pleading that are judicially noticeable. *Id.* For purposes of demurrer, all facts pleaded in a complaint are assumed to be true, but the court does not assume the truth of conclusions of law. *Aubry v. Tri-City Hosp. Dist.* (1992) 2 Cal.4th 962, 967.

A demurrer “offers an appropriate procedural vehicle, in addition to a motion to compel arbitration, for pointing out to the court that the plaintiff has no right to sue because he or she has agreed to arbitrate.” *Schatz v. Allen Matkins Leck Gamble & Mallory LLP* (2009) 45 Cal.4th 557, 572.

(Plaintiff, in their Response, cites *Engalla v. Permanente Medical Group, Inc.* (1997) 15 Cal.4th 951, 972, for the apparent proposition that demurrers can be used for arbitration provisions in “limited circumstances,” and that enforcement depends (of an arbitration provision) must be handled through a motion to compel arbitration. (P.3, Plaintiff's Response). But the court does not find anything related on the cited page of *Engalla*.)

When a demurrer is sustained, the court must determine if “there is a reasonable possibility that the defect can be cured by amendment.” *Blank v. Kirwan* (1985) 39 Cal.3d 311, 318. The burden rests on the plaintiff to prove the possibility of amendment. *Id.*

“Liberality in permitting amendment is the rule, if a fair opportunity to correct any defect has not been given.” *Angie M. v. Superior Court* (1995) 37 Cal.App.4th 1217, 1227.

However, leave to amend should not be granted where, in all probability, amendment would be futile. *Vaillette v. Fireman's Fund Ins. Co.* (1993) 18 Cal.App.4th 680, 685. Also, a court does not have to grant leave to amend when the plaintiff has not requested such leave. *Thornton v. California Unemployment Ins. Appeals Bd.* (2012) 204 CA4th 1403, 1423.

Written agreements requiring arbitration as the method of resolution are governed by the

California Arbitration Act (“CAA”). (See CCP Sections 1280 et seq.) Such provisions are binding as would be any other provision of a valid contract. *Aguilar v. Lerner* (2004) 32 Cal.4th 974, 991.

The statutes of the CAA stand in difference to those of the Mandatory Fee Arbitration Act (“MFAA,” Sections 6200-6206 of the Business and Professions Code) in that while “[A]rbitration under the MFAA is nonbinding ... arbitration under the CAA is binding.” *Id.* What’s more, there is nothing about the MFAA that precludes an attorney and client from entering into binding contractual arbitration. *Schatz v. Allen Matkins Leck Gamble and Mallory LLP* (2009) 45 Cal.4th 557, 562.

An additional, and significant, difference between the two acts concerns the act of waiver. The MFAA requires an attorney to inform a client of the client’s rights to seek arbitration under the Act for disputes over fees. Yet, while a client’s failure to respond to the attorney’s notice constitutes waiver of this right under the MFAA, this conduct does not revoke any contract provision requiring arbitration unless the agreement permits such a waiver. (See *Schatz v. Allen Matkins Leck Gamble and Mallory LLP* (2009) 45 Cal.4th 557; and *Aguilar v. Lerner* (2004) 32 Cal.4th 974, 989 “If the client fails to invoke his or her rights under the MFAA ... the preexisting arbitration agreement is enforceable against the client.”)

In the instant matter, the agreement between the two parties clearly calls for binding arbitration in the case of a fee dispute outside the jurisdiction of a court of small claims. What’s more, the agreement says nothing about laying the burden on any particular party to trigger the arbitration process, and about whether any particular conduct constitutes a waiver of this provision. But the court will not read this silence to mean something more affirmative, such as requiring the party wishing to avail itself of arbitration to begin the process, and that a failure to do so waives their right to the remedy. If Plaintiff was dissatisfied with the Defendant’s performance of the bargain – i.e. not paying fees – it should have started arbitration.

Instead, it attempted to shift the burden to Defendant, and when Defendant did not act, attempted to circumvent the explicit provision of the agreement entirely.

The court will permit the Plaintiff to amend the Complaint. However, the court intends to stay the suit pending arbitration. Thus, the deadline by which to amend the Complaint will also be stayed.

If the lawsuit resumes, then court will then provide a new deadline by which Plaintiff must file an amended Complaint.

Disposition

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